

# **FINANCIAL STATEMENT ANALYSIS**

**A Comprehensive Analysis of Financial Performance, Ratio Analysis,  
Valuation and Industry Comparison**



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## EXECUTIVE SUMMARY

This report analyses the consolidated financial performance of Infosys Limited using its FY2025–26 financial statements, ratio analysis, cash flow analysis, FCFF valuation inputs, and industry comparison. The objective is to evaluate the company's financial health, operational efficiency, liquidity, solvency, and long-term value creation.

Infosys continued to demonstrate strong financial performance during FY2025–26. Consolidated revenue reached ₹1,78,650 crore, while net profit remained robust at ₹29,474 crore, reflecting sustained growth despite a relatively challenging global IT spending environment. The company maintained healthy profitability, with a Net Profit Margin of 16.50%, Return on Equity (ROE) of 31.59%, and Return on Capital Employed (ROCE) of 34.98%, indicating efficient utilization of shareholder capital and long-term investments.

The balance sheet reflects a conservative capital structure, with a Debt-to-Equity Ratio of 0.10, demonstrating minimal dependence on external borrowings. Although the Current Ratio declined from 2.27 to 1.98, liquidity remained strong, and the decline was largely attributable to substantial shareholder distributions through dividends and share buybacks rather than operational weakness.

Cash flow analysis highlights one of Infosys' greatest financial strengths. The company generated ₹33,986 crore in operating cash flow during FY2026 while maintaining Free Cash Flow (FCFF) of ₹31,259 crore. Forecast analysis indicates that FCFF is expected to increase from ₹23,009 crore in FY2024 to ₹42,189 crore by FY2031, supporting a positive long-term valuation outlook. The consistently high cash conversion ratio further confirms that reported earnings are backed by strong cash generation.

The industry comparison with Tata Consultancy Services and HCLTech shows that while TCS remains the industry leader in scale and profitability, Infosys consistently

outperforms HCLTech across most profitability, return, and financial stability metrics. The company also records exceptionally high interest coverage, reinforcing its low-risk financial profile.

Overall, the analysis concludes that Infosys remains one of the financially strongest companies in the Indian IT services industry, supported by sustainable profitability, robust cash flows, disciplined capital allocation, and a strong balance sheet. These characteristics position the company well for long-term growth while continuing to create value for shareholders.

## **COMPANY PROFILE – INFOSYS LTD**

### **4.1 COMPANY PROFILE**

Infosys Limited is a multinational technology services and consulting company headquartered in Bengaluru, India. Established in 1981, the company has grown from an Indian technology enterprise into a global provider of consulting, information technology and digital transformation services.

Infosys helps organizations address complex business and technology requirements through consulting, technology implementation, digital solutions and managed services. Its operations are supported by a global delivery model, enabling the company to serve clients across different geographical markets and business sectors.

The company's activities extend across traditional IT services as well as emerging technology areas such as artificial intelligence, cloud computing, data analytics, cybersecurity and digital engineering. This combination allows Infosys to support clients in both maintaining existing technology infrastructure and undertaking large-scale business transformation.

During FY 2025–26, Infosys reported consolidated revenue from operations of ₹1,78,650 crore, compared with ₹1,62,990 crore in FY 2024–25, representing growth of approximately 9.6%. This growth reflects the continued expansion of the company's business operations during the financial year.

Infosys' financial performance, global operations and diversified service portfolio make it an appropriate company for detailed financial statement and ratio analysis.

### **4.2 BUSINESS SEGMENTS**

Infosys serves clients across a wide range of business sectors. Its business segmentation enables the company to develop technology and consulting solutions according to the specific requirements, operating environment and regulatory characteristics of different industries.

The major business segments served by Infosys include:

- **Financial Services and Insurance:** Infosys provides technology and consulting solutions to banks, financial institutions, capital-market companies and insurance organizations. Its services support areas such as digital banking, payments, risk management, customer experience and modernization of legacy systems.
- **Healthcare and Life Sciences:** The company provides technology solutions to healthcare organizations, pharmaceutical companies and life-sciences businesses. These services include digital transformation, data management, analytics and technology modernization.
- **Retail, Consumer Packaged Goods and Logistics:** Infosys works with retailers, consumer businesses and logistics companies to improve digital commerce, supply-chain operations, customer experience and enterprise technology systems.
- **Communication, Telecom and Media:** The company provides technology and consulting services to telecommunications, communication and media organizations. Its solutions support areas such as digital platforms, customer experience, data management and technology modernization.
- **Energy, Utilities and Resources:** Infosys serves companies operating in energy, utilities and related resource sectors. Its technology solutions help organizations improve operational efficiency, data utilization and digital capabilities.
- **Manufacturing:** Infosys provides technology, engineering and consulting services to manufacturing organizations. Its offerings support digital manufacturing, engineering transformation, enterprise applications and connected operations.
- **Hi-Tech:** The Hi-Tech segment includes technology-oriented businesses and companies requiring advanced digital, engineering and enterprise technology solutions. Infosys supports these organizations through technology consulting, engineering and digital services.

The diversification across these segments reduces dependence on a single client industry and enables Infosys to address technology requirements across a broad range of businesses.

### 4.3 PRODUCTS AND SERVICES OFFERED

Infosys provides a comprehensive range of technology, consulting and business services. Its major offerings include:

- Artificial Intelligence and Generative AI
- Cloud Services
- Digital Transformation
- Data and Analytics
- Cybersecurity
- Application Development and Modernization
- Technology Consulting
- Engineering Services
- Digital Commerce and Customer Experience
- Business Process and Enterprise Services

Through this diversified portfolio, Infosys is able to provide services across different stages of a client's technology and business-transformation requirements.

#### 4.4 MARKET POSITION

Infosys has established a significant position among global technology services and consulting companies. Its market position is supported by its large international client base, global workforce, established delivery capabilities, diversified service portfolio and long-standing client relationships.

The company has gradually expanded its focus from traditional information technology services toward higher-value consulting and digital transformation engagements. Areas such as artificial intelligence, cloud computing, cybersecurity, data analytics and digital engineering have become increasingly important to its business strategy.

Infosys' scale is reflected in its FY 2025–26 consolidated revenue of ₹1,78,650 crore. The company also continued to secure significant client engagements during the year, demonstrating its ability to compete for large technology-transformation contracts.

The company's focus on emerging technologies is particularly relevant as businesses increasingly seek to integrate AI and digital technologies into their operations. Infosys has therefore continued to develop its capabilities in AI-led transformation while maintaining its established IT and consulting businesses.



Its global delivery model also enables Infosys to provide services to clients across different regions while utilizing its international workforce and technology infrastructure.

#### **4.5 MAJOR COMPETITORS**

Infosys operates in a competitive technology-services environment and competes with both Indian and international technology companies.

Its major Indian competitors include:

- Tata Consultancy Services (TCS)
- HCLTech
- Wipro
- Tech Mahindra

## INDUSTRY OVERVIEW

### 5.1 OVERVIEW OF IT SERVICE INDUSTRY

Infosys operates in the **Information Technology (IT) services industry**, which provides technology-based solutions to businesses across different sectors. The industry includes services such as technology consulting, software development, cloud computing, digital transformation, data analytics, cybersecurity and artificial intelligence.

The IT services industry has become an important part of modern business operations as organizations increasingly depend on technology to improve efficiency, manage data, enhance customer experience and transform their business processes. During FY2025–26, the global IT services industry experienced **moderate growth of approximately 4.6% in CY2025**, although economic conditions, geopolitical developments and changes in technology spending continued to influence the sector.

### 5.2 MAJOR INDUSTRY TRENDS

The industry is currently undergoing significant technological change. **Artificial Intelligence (AI) and Generative AI** have emerged as major areas of investment, with businesses increasingly using AI for automation, decision-making, customer service and productivity improvement.

Other important trends include:

- **Cloud computing** and migration of enterprise applications to cloud platforms
- **Digital transformation** and modernization of business processes
- Growing use of **data and analytics**
- Increasing importance of **cybersecurity**
- Modernization of **legacy technology systems**
- Greater adoption of AI-enabled enterprise solutions

AI is particularly important because it is changing both the demand for technology services and the way these services are delivered. Infosys notes that AI is influencing technology spending while also creating pressure on some traditional IT services.

### 5.3 OPPORTUNITIES

The changing technology environment creates several opportunities for IT service providers. The increasing adoption of AI and Generative AI provides opportunities to develop new technology solutions and assist businesses in implementing AI at an enterprise level.

There is also continued demand for **cloud transformation, data modernization, cybersecurity and legacy-system modernization**. Many organizations are required to upgrade older technology systems and integrate them with newer digital and AI capabilities.

These developments provide opportunities for established IT companies such as Infosys to expand their services and participate in large-scale technology transformation projects.

### 5.4 KEY CHALLENGES

The industry faces challenges such as:

- Economic and geopolitical uncertainty
- Intense competition
- Rapid technological changes
- Changing client technology spending
- Pressure on traditional IT services due to AI and automation

Infosys specifically notes that geopolitical and policy uncertainties affected the technology-services industry during FY2025–26, while AI is creating pressure on traditional IT services.

## 5.5 INDUSTRY OUTLOOK

The outlook for the IT services industry remains positive, particularly because businesses continue to invest in **AI, cloud, digital transformation, cybersecurity and data-related technologies**. Although short-term growth may be affected by economic and geopolitical uncertainty, the continuing need for businesses to modernize their technology systems provides opportunities for sustained industry development.

Overall, the IT services industry is moving from traditional IT outsourcing toward **AI-led and technology-driven business transformation**. Companies that are able to develop strong capabilities in emerging technologies while maintaining their existing technology and consulting services are likely to remain competitive in the changing industry environment.

## **FINANCIAL STATEMENT ANALYSIS**

The financial statement analysis evaluates Infosys' performance by examining the Balance Sheet, Statement of Profit and Loss, Cash Flow Statement, and Notes to Accounts for FY2025–26 compared with FY2024–25. The analysis highlights the key financial movements and their implications for the company's overall financial health.

### **6.1 BALANCE SHEET ANALYSIS**

Infosys maintained a strong financial position during FY2026 despite significant cash distributions to shareholders through dividends and share buybacks.

#### **Key Changes (FY2026 vs FY2025)**

- The company's liquidity remained comfortable, although the Current Ratio declined from 2.27 to 1.98, reflecting lower current assets after shareholder payouts.
- The Quick Ratio also declined from 2.27 to 1.98, but remained strong because Infosys carries virtually no inventory.
- The Debt-to-Equity Ratio increased marginally from 0.09 to 0.10, indicating that the company continues to operate with very low financial leverage.
- Cash and cash equivalents declined during FY2026 primarily due to financing outflows rather than operational weakness.

#### **Interpretation**

The balance sheet reflects a conservative capital structure with minimal dependence on debt. Despite returning substantial cash to shareholders, Infosys maintained sufficient liquidity and financial flexibility to support future operations and investments.

### **6.2 STATEMENT OF PROFIT AND LOSS ANALYSIS**

Infosys continued to expand its revenue base while maintaining healthy profitability during FY2026.

#### **Key Changes (FY2026 vs FY2025)**

| Particular        | FY2025 | FY2026   |
|-------------------|--------|----------|
| Revenue (₹ Cr)    | —      | 1,78,650 |
| Net Profit Margin | 16.41% | 16.50%   |
| Operating Margin  | 21.12% | 20.29%   |
| EPS (₹)           | 64.32  | 72.59    |

### Analysis

- Revenue continued to grow, reflecting sustained demand for the company's IT services.
- Operating Margin declined slightly from 21.12% to 20.29%, mainly due to higher employee-related expenses, including the one-time impact of increased gratuity and leave liabilities.
- Net Profit Margin improved marginally to 16.50%, supported by stronger earnings despite higher operating costs.
- EPS increased from ₹64.32 to ₹72.59, indicating improved earnings attributable to each share.

### Interpretation

The income statement demonstrates that Infosys successfully balanced revenue growth with cost management, allowing profitability to remain strong despite temporary margin pressures.

## 6.3 CASH FLOW STATEMENT ANALYSIS

Cash flow remained one of Infosys' strongest financial attributes, with the company continuing to generate substantial cash from operations.

### Cash Flow Summary (₹ Crore)

| Particular          | FY2025  | FY2026  |
|---------------------|---------|---------|
| Operating Cash Flow | 35,694  | 33,986  |
| Investing Cash Flow | -1,946  | 1,946   |
| Financing Cash Flow | -24,161 | -39,786 |

### Analysis

- Operating Cash Flow remained above ₹33,000 crore, confirming strong cash generation from core business operations despite a modest decline.
- Investing Cash Flow shifted from an outflow to an inflow, indicating that investment proceeds exceeded new investments during FY2026.
- Financing Cash Flow became significantly more negative due to higher dividend payments and share buybacks, reflecting management's strategy of returning excess cash to shareholders.
- Despite these large financing outflows, Infosys maintained a strong liquidity position with substantial cash reserves.

### Interpretation

The cash flow statement indicates that Infosys continues to generate sufficient operating cash to finance investments while rewarding shareholders without increasing debt.

## 6.4 NOTES TO ACCOUNTS ANALYSIS

The Notes to Accounts provide important explanations for several financial movements observed during FY2026.

### Significant Disclosures

- Employee Benefit Expenses: The company recognized additional gratuity and leave-related expenses arising from the implementation of the new Labour Codes, which temporarily affected operating margins.

- **Share Buyback:** Infosys completed a significant share buyback during FY2026, reducing outstanding shares and contributing to higher EPS.
- **Dividend Distribution:** The company maintained substantial shareholder payouts, explaining the large financing cash outflows during the year.
- **Lease Liabilities:** Most of the company's reported debt continues to relate to lease obligations rather than significant long-term borrowings, supporting its conservative capital structure.

### Interpretation

The disclosures clarify that several FY2026 financial changes were driven by management decisions and regulatory adjustments rather than deterioration in business performance.

### SIGNIFICANT CHANGES BETWEEN FY2026 AND FY2025

| Area                 | Major Change                                                                                                       |
|----------------------|--------------------------------------------------------------------------------------------------------------------|
| <b>Liquidity</b>     | Current Ratio declined from 2.27 to 1.98 due to shareholder payouts.                                               |
| <b>Profitability</b> | Operating Margin declined slightly, while Net Profit Margin improved marginally.                                   |
| <b>Earnings</b>      | EPS increased from ₹64.32 to ₹72.59.                                                                               |
| <b>Cash Flow</b>     | Operating Cash Flow remained strong, while Financing Cash Flow became more negative due to dividends and buybacks. |
| <b>Solvency</b>      | Debt-to-Equity increased only marginally from 0.09 to 0.10, maintaining a low-risk capital structure.              |



## **COMPARATIVE & COMMON-SIZE ANALYSIS**

### **7.1 COMPARATIVE BALANCE SHEET**

Total assets grew by Rs.7,064 crore (4.74%), from Rs.1,48,903 crore in FY25 to Rs.1,55,967 crore in FY26, indicating continued expansion of the balance sheet.

Trade receivables rose sharply by 13.08% (Rs.4,076 crore), growing faster than revenue (9.61%), suggesting a slight lengthening of the collection cycle - worth monitoring for working capital efficiency.

Cash and cash equivalents declined by 9.22% (Rs.2,254 crore), largely reflecting cash deployed towards dividends, the ongoing share buyback, and acquisitions (goodwill up 19.90%).

Total equity declined by 3.02% (Rs.2,906 crore) despite higher profits, mainly because the share buyback reduced equity share capital and other equity through cash outflow to shareholders.

Total current liabilities increased sharply by 22.11% (Rs.9,472 crore), driven mainly by other current liabilities (+34.12%) and other financial liabilities (+18.44%).

Overall: asset growth is increasingly funded through current liabilities rather than equity, as surplus cash was returned to shareholders via buyback while the company continued to invest in receivables and acquisitions.

### **7.2 COMPARATIVE STATEMENT OF PROFIT & LOSS**

Revenue from operations grew 9.61% YoY (Rs.1,62,990 cr to Rs.1,78,650 cr), reflecting healthy demand for digital, cloud and AI-led services.

Total expenses grew 9.85%, marginally faster than revenue, indicating a slight rise in the overall cost-to-revenue ratio.

Employee benefit expenses (largest cost) rose 10.64%; cost of technical sub-contractors rose sharply by 19.20%, indicating greater reliance on subcontracted delivery capacity.

PBT grew only 6.35% (vs. 9.77% pre-exceptional) due to a one-time Rs.1,289 crore exceptional charge relating to the impact of Labour Codes recognized in FY26.

Despite the exceptional item, PAT grew a healthy 10.18% (Rs.2,724 crore), aided by a lower effective tax outgo.

### 7.3 COMMON-SIZE BALANCE SHEET

Current assets remain dominant (66.35% of total assets in FY26 vs 65.21% in FY25), reflecting the asset-light, services-oriented business model.

Trade receivables rose from 20.93% to 22.59% of total assets - the largest compositional shift among asset heads.

Total equity fell from 64.61% to 59.82% of total assets, while current liabilities rose from 28.78% to 33.55% - a meaningful shift toward current-liability financing.

Non-current liabilities remained stable at ~6.6% of total assets, confirming continued minimal reliance on long-term borrowings.

### 7.4 COMMON-SIZE STATEMENT OF PROFIT & LOSS

Employee benefit expenses rose slightly from 52.73% to 53.23% of revenue; cost of technical sub-contractors rose from 7.94% to 8.63% of revenue.

Operating margin (profit before exceptional item and tax) was broadly stable at ~23% of revenue in both years, showing the underlying operating performance held firm.

PAT margin improved slightly from 16.41% to 16.50% of revenue despite the exceptional charge, helped by a lower effective tax rate.

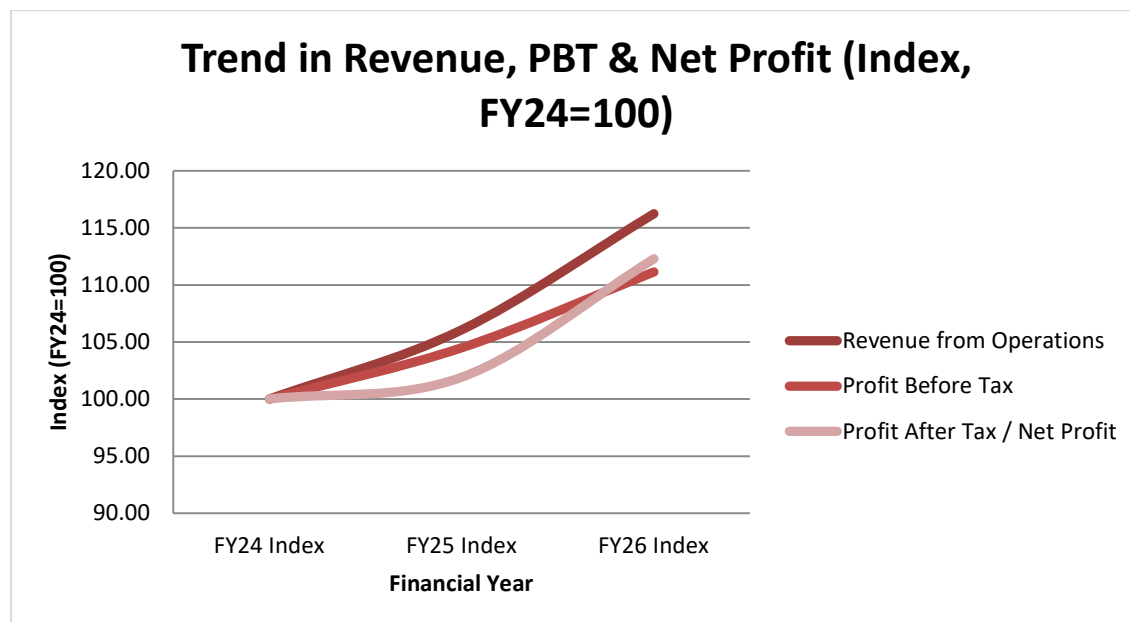
### 7.5 TREND ANALYSIS (FY24-FY26)

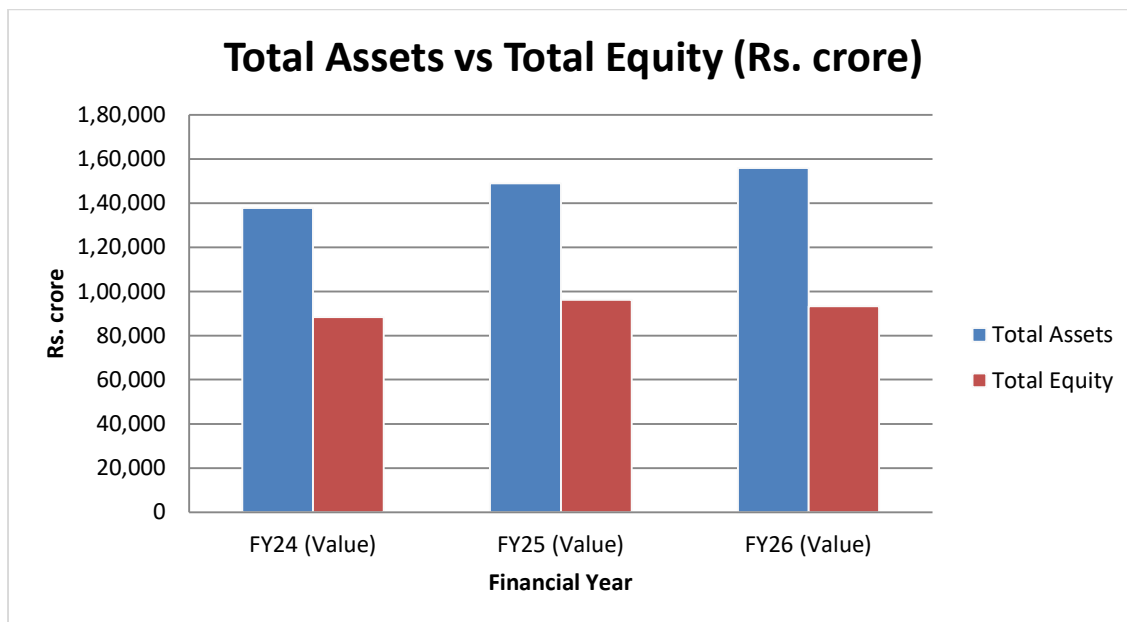
Revenue index rose steadily from 100 (FY24) to 106.06 (FY25) to 116.26 (FY26) - consistent, accelerating top-line growth.

PAT index grew more moderately in FY25 (101.91) but accelerated sharply in FY26 (112.29), showing improved operating leverage in the latest year.

Total assets expanded steadily (index 100 to 108.05 to 113.17); total equity rose in FY25 (108.75) but fell back in FY26 (105.47) due to the share buyback.

Basic EPS grew faster than PAT in FY26 (112.92 vs. 112.29) as the buyback reduced the weighted-average share count - a modestly EPS-accretive effect for continuing shareholders.





### OVERALL CONCLUSION

Growth quality is sound: revenue, profit and total assets grew consistently across the two years analysed and across the three-year trend window.

Working-capital intensity has increased modestly (receivables outpacing revenue) and liquidity has softened slightly - both worth monitoring going into FY27.

Capital structure remains conservative - non-current liabilities and debt remain a small share of the balance sheet even as equity contracted from the buyback, reflecting continued low financial leverage (consistent with the Debt-Equity ratio in Section 4 - Ratio Analysis).

The FY26 exceptional item (Labour Codes impact, Rs.1,289 crore) is a one-off and should be adjusted for when comparing underlying operating performance across years.

# RATIO ANALYSIS

The ratio analysis evaluates Infosys' financial performance across FY2025–26 and FY2024–25 using liquidity, profitability, efficiency, solvency, and market ratios calculated in the workbook.

## 8.1 LIQUIDITY RATIOS

| Ratio         | FY2025–26 | FY2024–25 |
|---------------|-----------|-----------|
| Current Ratio | 1.98      | 2.27      |
| Quick Ratio   | 1.98      | 2.27      |

### Analysis

- The Current Ratio declined from 2.27 to 1.98, but remained close to the conventional 2:1 benchmark, indicating a comfortable liquidity position.
- The decline primarily reflects cash deployed towards the share buyback and higher dividend payouts during FY2026 rather than operational weakness.
- Since Infosys carries virtually no inventory, the Quick Ratio is identical to the Current Ratio, confirming that liquid assets alone are sufficient to meet short-term obligations.

## 8.2 PROFITABILITY RATIOS

| Ratio                   | FY2025–26 | FY2024–25 |
|-------------------------|-----------|-----------|
| Gross Profit Margin     | 30.18%    | 30.46%    |
| Operating Profit Margin | 20.29%    | 21.12%    |
| Net Profit Margin       | 16.50%    | 16.41%    |
| ROA                     | 18.90%    | 17.96%    |
| ROE                     | 31.59%    | 27.81%    |
| ROCE                    | 34.98%    | 32.46%    |

## Analysis

- Gross Profit Margin remained stable around 30%, reflecting consistent delivery efficiency despite cost pressures.
- Operating Margin declined slightly from 21.12% to 20.29%, mainly due to the one-time impact of increased gratuity and leave liabilities under the new Labour Codes.
- Net Profit Margin improved marginally to 16.50%, supported by higher other income and a lower effective tax rate.
- Both ROE (31.59%) and ROCE (34.98%) improved significantly, indicating stronger returns generated from shareholders' funds and long-term capital.

## 8.3 EFFICIENCY RATIOS

| Ratio                    | FY2025-26 | FY2024-25 |
|--------------------------|-----------|-----------|
| Debtors Turnover         | 5.07x     | 5.23x     |
| Asset Turnover           | 1.15x     | 1.09x     |
| Working Capital Turnover | 3.49x     | 3.00x     |

## Analysis

- Debtors Turnover declined slightly from 5.23x to 5.07x, indicating a marginal increase in collection days while remaining within normal enterprise IT billing cycles.
- Asset Turnover improved from 1.09x to 1.15x, showing that Infosys generated more revenue per rupee of assets.
- Working Capital Turnover increased from 3.00x to 3.49x, suggesting improved utilization of working capital as revenue grew despite a reduction in net working capital.

#### 8.4 SOLVENCY RATIOS

| Ratio             | FY2025–26 | FY2024–25 |
|-------------------|-----------|-----------|
| Debt-to-Equity    | 0.10      | 0.09      |
| Interest Coverage | 87.15x    | 82.75x    |
| DSCR              | N/A       | N/A       |

##### Analysis

- The Debt-to-Equity Ratio increased only marginally from 0.09 to 0.10, indicating that Infosys remains virtually debt-free, with liabilities consisting mainly of lease obligations rather than conventional borrowings.
- Interest Coverage improved to 87.15 times, demonstrating an exceptionally strong ability to meet finance costs through operating earnings.
- The Debt Service Coverage Ratio (DSCR) is not meaningful because Infosys has no significant long-term debt requiring scheduled principal repayments.

#### 8.5 MARKET RATIOS

| Ratio     | FY2025–26 | FY2024–25 |
|-----------|-----------|-----------|
| EPS (₹)   | 71.58     | 64.50     |
| P/E Ratio | 16.28     | 18.06     |

##### Analysis

- Earnings Per Share increased by approximately 11%, reflecting both higher profits and the reduction in outstanding shares following the buyback.
- The P/E Ratio declined from 18.06 to 16.28, indicating that the market valued Infosys at lower earnings multiple despite improved earnings, reflecting cautious investor sentiment toward the IT sector.

### **OVERALL RATIO ASSESSMENT**

Infosys maintained a strong financial position during FY2025–26. While liquidity softened slightly due to shareholder payouts, the company continued to maintain comfortable short-term solvency. Profitability remained robust, with improvements in ROA, ROE, and ROCE, while efficiency improved through higher asset and working capital turnover. The company's minimal leverage and exceptionally high interest coverage further reinforce its conservative capital structure and strong financial stability.



## CASH FLOW ANALYSIS

### 9.1 CASH FLOW SUMMARY (₹ CRORE)

| Year   | Operating Cash Flow | Investing Cash Flow | Financing Cash Flow |
|--------|---------------------|---------------------|---------------------|
| FY2025 | 35,694              | -1,946              | -24,161             |
| FY2026 | 33,986              | 1,946               | -39,786             |

### 9.2 KEY ANALYSIS

- Operating Cash Flow remained above ₹33,000 crore in both years, declining marginally from ₹35,694 crore in FY2025 to ₹33,986 crore in FY2026, indicating that Infosys continues to generate substantial cash from its core operations.
- The company generated operating cash flow that remained significantly higher than annual capital expenditure, providing a strong foundation for Free Cash Flow and future investments.
- Investing Cash Flow shifted from an outflow of ₹1,946 crore in FY2025 to an inflow of ₹1,946 crore in FY2026, suggesting that proceeds from investments exceeded fresh investments while capital expenditure remained disciplined.
- Financing Cash Flow outflows increased sharply from ₹24,161 crore to ₹39,786 crore, primarily due to higher dividend payments and share buybacks, reflecting management's focus on returning excess cash to shareholders rather than relying on external borrowing.
- Despite larger financing outflows, Infosys maintained a healthy closing cash balance of ₹22,201 crore, demonstrating strong financial flexibility and a comfortable liquidity position.

### 9.3 LINK TO FCFF AND CASH CONVERSION

The historical cash flow trends are consistent with the company's broader cash-generation profile observed in the forecast analysis.

- FCFF is projected to increase from ₹23,009 crore in FY2024 to ₹42,189 crore by FY2031, indicating improving long-term cash available to all capital providers.
- Although FCFF temporarily declines in FY2027 despite higher net income, this reflects lower operating cash flow and higher capital expenditure, demonstrating that cash flow performance can differ from accounting profit.
- Infosys also maintains a cash conversion rate consistently above the 70% benchmark, ranging between 87.7% and 125.1%, indicating that reported earnings are well supported by actual cash generation.

#### 9.4 LIQUIDITY POSITION AND SUSTAINABILITY

Infosys exhibits a strong and sustainable cash flow profile. The company consistently generates substantial operating cash, maintains moderate capital expenditure requirements, and funds dividends and share buybacks primarily through internally generated cash. The projected growth in FCFF and consistently high cash conversion further strengthen confidence in the company's liquidity, earnings quality, and long-term value creation potential.

# INDUSTRY COMPARISON

Infosys operates in the Indian IT Services industry, where Tata Consultancy Services (TCS) and HCLTech are two of its closest competitors. The comparison below is based on the figures and ratios provided in the workbook's Peer Comparison and Peer Input Data sheets.

## 10.1 REVENUE COMPARISON

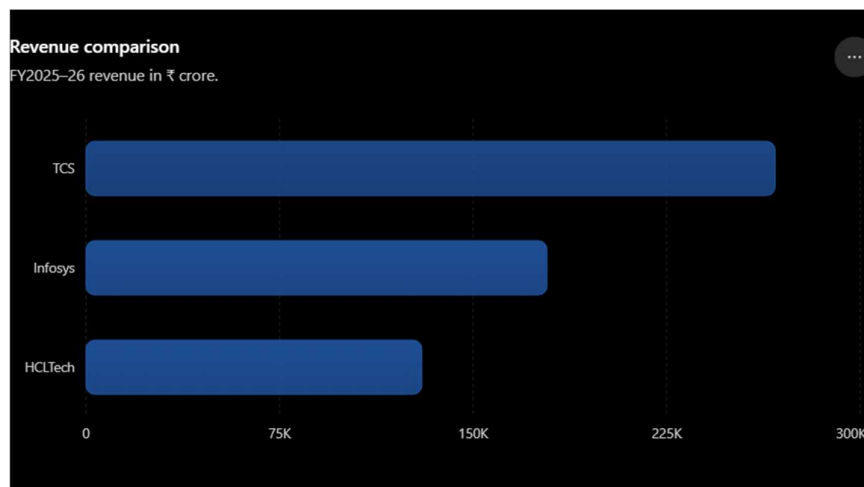
| Company | Revenue (₹ Cr) |
|---------|----------------|
| TCS     | 2,67,021       |
| Infosys | 1,78,650       |
| HCLTech | 1,30,144       |

### Analysis

- TCS is the revenue leader with ₹2,67,021 crore.
- Infosys generated ₹1,78,650 crore, maintaining its position as the second-largest company among the three.
- HCLTech reported ₹1,30,144 crore, indicating a comparatively smaller revenue base.

### Revenue comparison

FY2025–26 revenue in ₹ crore.



## 10.2 PROFITABILITY COMPARISON

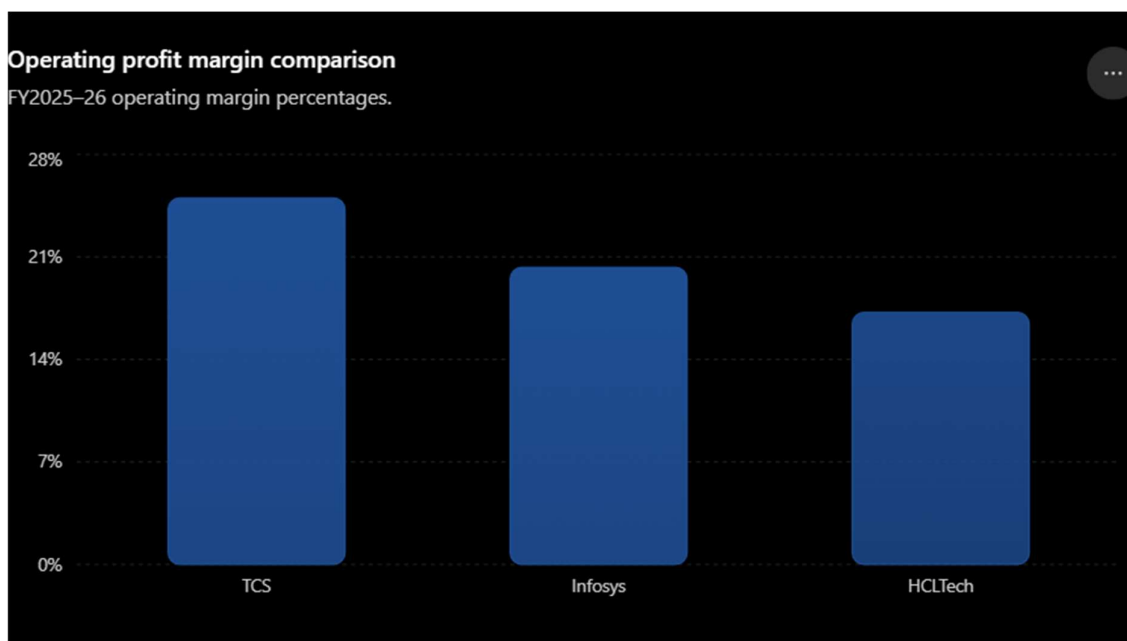
| Company | Operating Margin | Net Profit Margin |
|---------|------------------|-------------------|
| Infosys | 20.29%           | 16.50%            |
| TCS     | 25.03%           | 18.52%            |
| HCLTech | 17.21%           | 12.80%            |

### Analysis

- TCS leads the peer group in both operating and net profit margins.
- Infosys maintains strong profitability, outperforming HCLTech by approximately 3 percentage points in operating margin and 3.7 percentage points in net profit margin.
- HCLTech records the lowest profitability among the three companies.

### Operating profit margin comparison

FY2025–26 operating margin percentages.



### 10.3 LIQUIDITY COMPARISON

| Company | Current Ratio | Quick Ratio |
|---------|---------------|-------------|
| Infosys | 1.98          | 1.98        |
| TCS     | 2.23          | 2.23        |
| HCLTech | 2.22          | 2.21        |

#### Analysis

- All three companies maintain current ratios above 1, indicating healthy short-term liquidity.
- TCS has the strongest liquidity position.
- Infosys' current ratio of 1.98 remains comfortable and reflects effective working capital management.

### 10.4 SOLVENCY COMPARISON

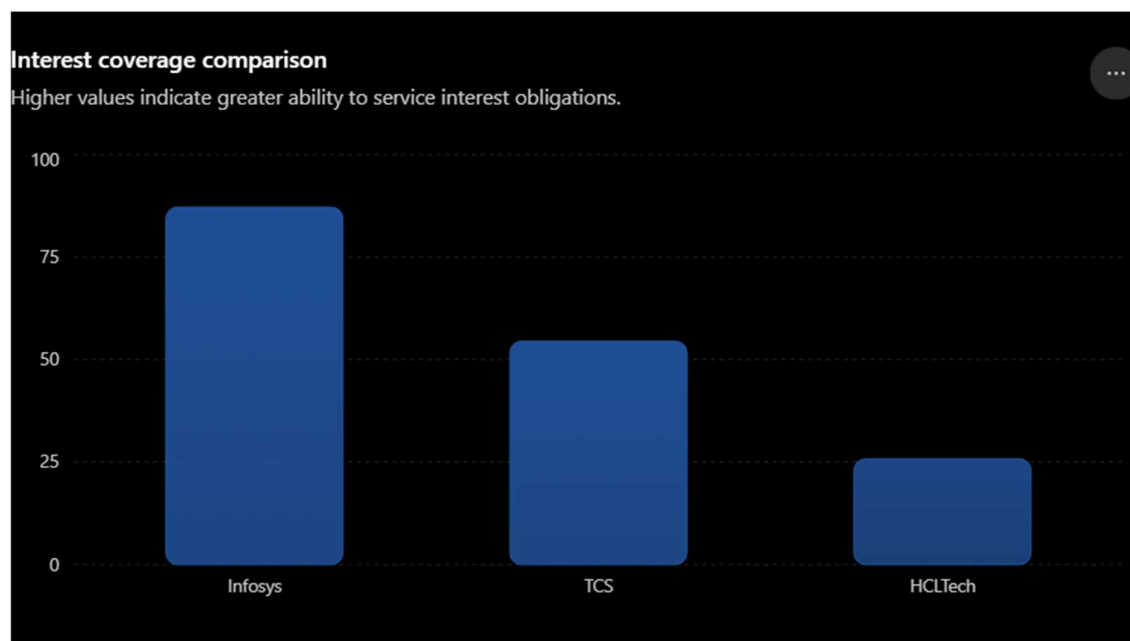
| Company | Debt-to-Equity | Interest Coverage |
|---------|----------------|-------------------|
| Infosys | 0.10           | 87.15x            |
| TCS     | 0.10           | 54.47x            |
| HCLTech | 0.07           | 25.77x            |

#### Analysis

- All three companies operate with very low leverage.
- HCLTech has the lowest debt-to-equity ratio.
- Infosys records the highest interest coverage ratio at 87.15 times, indicating exceptional ability to meet interest obligations from operating earnings.

### Interest coverage comparison

Higher values indicate greater ability to service interest obligations.



### 10.5 EFFICIENCY COMPARISON

| Company | ROA    | ROE    | ROCE   | Asset Turnover |
|---------|--------|--------|--------|----------------|
| Infosys | 18.90% | 31.59% | 34.98% | 1.15x          |
| TCS     | 27.12% | 45.59% | 55.03% | 1.46x          |
| HCLTech | 14.32% | 22.14% | 26.53% | 1.12x          |

#### Analysis

- TCS leads the peer group across all return-based efficiency measures.
- Infosys performs significantly better than HCLTech in ROA, ROE, and ROCE.
- TCS also records the highest asset turnover, indicating superior asset utilization.

## 10.6 MARKET PERFORMANCE

| Company | EPS (₹) | P/E   | Dividend Payout |
|---------|---------|-------|-----------------|
| Infosys | 71.58   | 16.28 | 67.06%          |
| TCS     | 136.01  | 17.45 | 47.06%          |
| HCLTech | 61.46   | 21.72 | 87.86%          |

### Analysis

- TCS reports the highest Earnings Per Share (EPS), reflecting stronger earnings generated for shareholders.
- Infosys trades at a lower P/E than HCLTech, suggesting a relatively more moderate market valuation.
- HCLTech has the highest dividend payout ratio, while Infosys maintains a balanced payout policy.

## 10.7 OVERALL PEER ASSESSMENT

The peer comparison indicates that TCS is the strongest performer overall, leading in revenue, profitability, liquidity, and efficiency. Infosys ranks second across most financial metrics, maintaining strong margins, healthy liquidity, and the highest interest coverage ratio, which reflects a highly conservative financial structure. HCLTech performs well in maintaining low leverage and a high dividend payout, but trails Infosys and TCS in profitability and returns on capital. Overall, Infosys demonstrates a balanced financial profile with strong operational performance and robust financial stability, making it a competitive player within the Indian IT services industry.

## **KEY FINDINGS**

The financial statement, ratio, cash flow and peer comparison together show that Infosys is financially strong, but its performance is not uniformly ahead of its competitors. The company has a clear advantage in profitability to shareholders and financial stability, while TCS remains stronger on some operating-efficiency measures.

### **11.1 STRONG REVENUE AND PROFIT GROWTH**

Infosys has maintained a positive growth trend over the period covered in the report. Revenue increased from ₹1,21,641 crore in FY2022 to ₹1,78,650 crore in FY2026, while net profit increased from ₹22,146 crore to ₹29,474 crore. This shows that the company has continued to expand without losing its ability to generate meaningful profits.

### **11.2 PROFITABILITY REMAINS A MAJOR STRENGTH**

The peer comparison gives a useful picture of where Infosys stands. In the comparison used in the report, Infosys has a net profit margin of 19.63% and ROE of 34.73%, both higher than TCS and HCL Tech. TCS, however, leads in operating margin, ROA and ROCE. In simple terms, TCS is better at turning its operating resources and total capital into returns, while Infosys is particularly strong at converting revenue into final profit and generating returns for its equity shareholders.

### **11.3 WORKING CAPITAL IS BEING USED EFFICIENTLY, BUT RECEIVABLES NEED ATTENTION**

Infosys has the highest working capital turnover among the three companies at 1.71x, which indicates good use of working capital. At the same time, trade receivables increased faster than revenue in FY2026. This does not suggest an immediate problem, but it is an area that management should continue to watch because a longer collection cycle can put pressure on cash flow.

### **11.4 FINANCIAL RISK IS VERY LOW**

One of the clearest strengths of Infosys is its conservative capital structure. The peer analysis shows a debt-equity ratio of only 0.05, compared with 0.10 for TCS and 0.07 for HCL Tech. Its interest coverage of 87x and DSCR of 33.49x also indicate that the company has a very strong ability to meet its financial obligations. The high ROE combined with very



low debt is important because the return to shareholders is not being created mainly through heavy leverage.

### **11.5 CASH GENERATION SUPPORTS THE REPORTED PROFITS**

The cash flow analysis is another positive point. Operating cash flow reached ₹33,986 crore and free cash flow stood at ₹31,259 crore in FY2026. The cash conversion analysis also remains comfortably above the 70% benchmark throughout the forecast period. The temporary fall in FCFF from ₹31,259 crore in FY2026 to ₹28,638 crore in FY2027 deserves monitoring, but the forecast shows a recovery from FY2028 onward.

### **11.6 INFOSYS OFFERS A BALANCED SHAREHOLDER PROFILE**

Infosys does not lead every ratio, but the combination of profitability, low financial risk and shareholder returns makes its position attractive. Its P/E ratio of 17.65x is close to TCS at 17.45x and below HCL Tech at 20.8x. Its dividend payout of 67.73% is also lower than the payout ratios of TCS and HCL Tech, leaving a relatively larger portion of earnings available for reinvestment.

## **RECOMMENDATIONS**

Based on the financial and peer analysis, the following recommendations can help Infosys maintain its strengths while addressing the areas where there is room for improvement.

### **12.1 IMPROVE OPERATING EFFICIENCY**

TCS is ahead of Infosys on operating margin, ROA, ROCE and asset turnover. Infosys should therefore continue to focus on productivity, project-level profitability and better utilization of its delivery resources. Improving operating efficiency would help the company narrow the gap without depending on higher financial leverage.

### **12.2 KEEP A CLOSE WATCH ON RECEIVABLES**

Since trade receivables grew faster than revenue in FY2026, Infosys should closely monitor collection periods, customer payment behaviour and working-capital requirements. Faster collection would release cash and reduce the amount of funds tied up in receivables.

### **12.3 MAINTAIN THE CONSERVATIVE CAPITAL STRUCTURE**

The very low debt-equity ratio is one of Infosys' strongest financial advantages. The company should avoid taking on unnecessary debt simply to increase returns. If additional funding is required for acquisitions or technology investment, the impact on financial risk should be evaluated carefully.

### **12.4 CONTINUE INVESTING IN AI AND HIGH-VALUE DIGITAL SERVICES**

The IT industry is moving towards AI-led transformation, cloud services, cybersecurity and data-driven solutions. Infosys should continue shifting its service mix towards higher-value work where clients are willing to pay for specialized capabilities. This can support future growth while reducing dependence on more traditional IT services.

## **12.5 BALANCE SHAREHOLDER DISTRIBUTION WITH REINVESTMENT**

Infosys already follows a relatively balanced approach between dividends, buybacks and retained earnings. Going forward, the company should continue to ensure that shareholder distributions do not reduce the funds available for AI capabilities, employee development, acquisitions and other long-term investments.

## **12.6 MONITOR THE FY2027 CASH FLOW DIP**

The FCFF forecast shows a decline in FY2027 even though net income is expected to rise. Management should closely track the factors behind the fall in operating cash flow and the increase in CapEx. If the decline is temporary, the later recovery in FCFF should support the company's long-term cash generation; if it persists, working-capital and investment assumptions should be reviewed.

## **12.7 KEEP RATIO AND DATA SOURCES CONSISTENT IN FUTURE ANALYSIS**

For future financial analysis, the same source and calculation basis should be used consistently when comparing ratios across years or companies. This will make the analysis easier to interpret and avoid differences caused only by changes in calculation methodology.

## CONCLUSION

The analysis presents Infosys as a financially sound company with a strong balance between profitability, cash generation and financial stability. Revenue and profit have grown over the period considered, while the company has maintained a very low dependence on debt. The cash flow analysis also supports the quality of its reported earnings, with free cash flow remaining positive and cash conversion staying well above the benchmark used in the report.

The comparison with TCS and HCL Tech adds an important perspective. TCS remains the stronger company on operating efficiency and capital utilization, particularly through its higher operating margin, ROA, ROCE and asset turnover. Infosys, on the other hand, stands out for its higher net profit margin, ROE, working-capital efficiency and much lower financial risk. HCL Tech remains financially stable but records weaker profitability and return ratios in the comparison.

From an investor and management perspective, Infosys therefore appears to have a strong base for future growth. The main priorities should be improving operating efficiency, keeping receivables under control, continuing investment in AI and digital capabilities, and maintaining the company's conservative financial structure. The temporary FY2027 decline in FCFF should be watched, but the recovery projected from FY2028 onward gives a positive long-term picture. Taken together, the findings suggest that Infosys is not simply a low-risk company; it is a company that combines low financial risk with strong profitability and meaningful shareholder returns.

## REFERENCES

The following sources are aligned with the information and data sources identifiable in the completed report. They have been presented in a simple academic format so that the final report remains consistent with the existing document.

**Infosys Limited.** Annual reports and financial statements for the financial years covered in the analysis, including FY2021–22 to FY2025–26.

**Screener.in.** Infosys Ltd. consolidated financial statements, profitability ratios, return ratios and cash-flow data used in the analysis.

**Tata Consultancy Services Limited (TCS).** Financial and ratio information used for peer comparison with Infosys.

**HCLTech.** Financial and ratio information used for peer comparison with Infosys and TCS.

**National Stock Exchange of India Limited (NSE).** Company and market information referred to in the financial analysis.

Note: The recommendations and conclusions in this continuation are based on the financial statement, ratio, cash flow and peer-comparison analysis already presented in the uploaded report. No new financial figures have been introduced beyond those used in the existing analysis.